

The Board of Directors of I&M Group PLC is pleased to announce unaudited results of the Group as at 31 March 2023

		COMPANY			GROUP		
STATEMENT OF FINANCIAL POSITION		UNAUDITED MAR 2022 (KSHS'000)	AUDITED DEC 2022 (KSHS'000)	UNAUDITED MAR 2023 (KSHS'000)	UNAUDITED MAR 2022 (KSHS'000)	AUDITED DEC 2022 (KSHS'000)	UNAUDITED MAR 2023 (KSHS'000)
A	ASSETS						
01	Cash (both local and foreign)	4,763,027	864,255	963,591	9,338,287	5,186,177	6,182,717
02	Balances due from central banks	-	-	-	19,496,822	17,632,125	21,538,423
03	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
04	Financial Assets at fair value through profit or loss (FVTPL)	-	-	-	15,415,984	16,402,892	14,830,626
05	Investment Securities:						
a)	Held at amortised cost:						
a.	Kenya Government securities	-	-	-	30,876,479	22,655,837	27,262,928
b.	Other securities	-	-	-	17,396,308	21,062,484	29,901,367
b)	Fair value through other comprehensive income (FVOCI):						
a.	Kenya Government securities	25,769	925,055	899,428	53,022,865	45,465,083	45,477,336
b.	Other securities	-	-	-	7,266,458	7,526,065	8,052,322
06	Deposits and Balances due from local banking institutions	-	-	-	2,077,259	3,211,983	794,751
07	Deposits and Balances due from banking institutions abroad	-	-	-	20,808,525	18,255,199	19,382,523
08	Tax recoverable	3,463	7,695	7,695	-	236,823	-
09	Loans and advances to customers (net)	-	-	-	218,406,278	238,590,143	257,714,954
10	Balances due from banking institutions in the Group	-	-	-	-	-	-
11	Investment in associates	-	-	-	-	-	-
12	Investment in subsidiary companies	30,442,895	31,336,158	31,417,876	-	-	-
13	Investment in joint ventures	2,515,591	2,515,591	2,515,591	5,090,818	5,570,240	6,020,576
14	Investment properties	-	-	-	-	-	-
15	Property and equipment	-	-	-	12,929,835	12,514,594	12,648,820
16	Prepaid lease rentals	-	-	-	-	-	-
17	Intangible assets	-	-	-	6,530,874	6,885,544	6,919,726
18	Deferred tax asset	-	-	-	6,148,393	8,678,146	8,845,643
19	Retirement benefit asset	-	-	-	-	-	-
20	Other assets	230,787	80,927	6,305,634	6,025,619	6,726,311	7,033,022
21	TOTAL ASSETS	37,981,532	35,729,681	42,109,815	430,830,804	436,599,646	472,605,734
B	LIABILITIES						
22	Balances due to central banks	-	-	-	-	-	-
23	Customer deposits	-	-	-	309,423,713	312,335,932	324,673,528
24	Deposits and balances due to local banking institutions	-	-	-	4,783,087	6,803,763	15,284,983
25	Deposits and balances due to foreign banking institutions	-	-	-	12,953,946	11,349,566	15,123,348
26	Other money market deposits	-	-	-	-	-	-
27	Borrowed funds	-	-	-	19,938,979	16,794,713	17,366,007
28	Balances due to banking institutions in the Group	-	-	-	-	-	-
29	Tax payable	-	-	-	715,609	-	361,501
30	Dividends payable	-	-	-	-	-	-
31	Deferred tax liability	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-
33	Other liabilities	1,708,111	91,448	117,026	7,771,715	7,666,084	15,340,925
34	TOTAL LIABILITIES	1,708,111	91,448	117,026	355,587,049	354,950,058	388,150,292
C	SHAREHOLDERS' EQUITY						
35	Paid up/Assigned share capital	1,653,621	1,653,621	1,653,621	1,653,621	1,653,621	1,653,621
36	Share premium/(discount)	17,561,629	17,561,629	17,561,629	17,561,629	17,561,629	17,561,629
37	Revaluation reserves - (Buildings)	-	-	-	1,036,048	1,154,325	1,154,325
38	Retained earnings/(Accumulated losses)	17,059,119	16,464,597	22,827,617	46,340,421	53,674,183	55,494,878
39	Statutory loan loss reserves	-	-	-	8,178,974	6,993,268	7,634,273
40	Other reserves	(948)	(41,614)	(50,078)	(2,682,516)	(3,873,628)	(4,821,523)
41	Proposed dividends	-	-	-	-	-	-
42	Translation reserve	-	-	-	(1,576,631)	(645,903)	275,026
43	TOTAL SHAREHOLDERS' EQUITY	36,273,421	35,638,233	41,992,789	70,511,546	76,517,495	78,952,229
44	Non controlling interest	-	-	-	4,732,209	5,132,093	5,503,213
45	TOTAL LIABILITIES & SHAREHOLDERS' EQUITY	37,981,532	35,729,681	42,109,815	430,830,804	436,599,646	472,605,734

		COMPANY			GROUP		
STATEMENT OF COMPREHENSIVE INCOME		UNAUDITED MAR 2022 (KSHS'000)	AUDITED DEC 2022 (KSHS'000)	UNAUDITED MAR 2023 (KSHS'000)	UNAUDITED MAR 2022 (KSHS'000)	AUDITED DEC 2022 (KSHS'000)	UNAUDITED MAR 2023 (KSHS'000)
01.	INTEREST INCOME						
1.1	Loans and advances	-	-	-	5,970,215	26,259,209	7,243,212
1.2	Government securities	773	86,400	29,082	2,562,105	10,477,135	2,662,519
1.3	Deposits and placements with banking institutions	3,354	33,356	4,567	60,446	569,978	258,297
1.4	Other interest income	-	-	-	10,965	44,875	11,290
1.5	Total interest income	4,127	119,396	33,649	8,603,731	37,351,197	10,175,318
02.	INTEREST EXPENSE						
2.1	Customer deposits	-	-	-	2,782,328	11,597,717	3,305,999
2.2	Deposits and placements from banking institutions	-	-	-	319,066	1,430,228	448,228
2.3	Other interest expenses	-	-	-	297,097	1,378,731	329,615
2.4	Total interest expense	-	-	-	3,398,491	14,406,676	4,083,842
03.	NET INTEREST INCOME/ (LOSS)	4,127	119,396	33,649	5,205,240	22,944,521	6,091,476
04.	OTHER OPERATING INCOME						
4.1	Fees and commissions on loans and advances	-	-	-	496,564	2,185,691	576,553
4.2	Other fees and commissions	-	-	-	865,008	3,700,780	1,011,093
4.3	Foreign exchange trading income/(loss)	-	-	-	612,821	5,042,627	1,442,404
4.4	Dividend income	4,262,682	6,073,676	6,300,000	-	-	-
4.5	Other income	215	10,768	45,085	220,897	1,794,453	455,095
4.6	Total non-interest income	4,262,897	6,084,444	6,345,085	2,195,290	12,723,551	3,485,145
05.	TOTAL OPERATING INCOME	4,267,024	6,203,840	6,378,734	7,400,530	35,668,072	9,576,621
06.	OTHER OPERATING EXPENSES						
6.1	Loan loss provisions	-	-	-	480,741	5,245,020	1,641,854
6.2	Staff costs	-	-	-	1,331,827	6,472,873	1,581,810
6.3	Directors' emoluments	-	-	-	26,255	114,322	28,581
6.4	Rentals charges	-	-	-	167,138	716,283	193,942
6.5	Depreciation charge on property and equipment	-	-	-	374,188	1,597,298	432,717
6.6	Amortisation charges	-	-	-	196,052	873,728	258,675
6.7	Other operating expenses	10,290	54,121	15,714	1,274,028	6,318,366	1,894,523
6.8	Total other Operating Expenses	10,290	54,121	15,714	3,850,229	21,337,890	6,032,101
07.	PROFIT/ (LOSS) BEFORE TAX AND EXCEPTIONAL ITEMS	4,256,734	6,149,719	6,363,020	3,550,301	14,330,182	3,544,520
08.	Share of profit of joint venture	-	-	-	120,306	662,150	201,361
09.	PROFIT/(LOSS) AFTER EXCEPTIONAL ITEMS	4,256,734	6,149,719	6,363,020	3,670,607	14,992,332	3,745,881
10.	Current tax	-	(7,075)	-	(960,823)	(4,642,909)	(1,089,306)
11.	Deferred tax	-	-	-	-	1,234,275	-
12.	PROFIT/ (LOSS) AFTER TAX AND EXCEPTIONAL ITEMS	4,256,734	6,142,644	6,363,020	2,709,784	11,583,698	2,656,575
13.	Non controlling interest	-	-	-	(149,109)	(390,209)	(116,801)
14.	PROFIT/ (LOSS) AFTER TAX, EXCEPTIONAL ITEMS AND NON-CONTROLLING INTEREST	4,256,734	6,142,644	6,363,020	2,560,675	11,193,489	2,539,774
15.	OTHER COMPREHENSIVE INCOME						
15.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	314,922	1,365,147	1,088,108
15.2	Fair value changes in financial assets at FVOCI	(435)	(41,101)	(8,464)	(1,829,028)	(3,007,013)	(948,524)
15.3	Statutory loan loss reserve	-	-	-	-	-	-
15.4	Fair value changes on employee benefits	-	-	-	-	(20,526)	-
15.5	Income tax relating to components of other comprehensive income	-	-	-	-	120,230	-
16.	OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	(435)	(41,101)	(8,464)	(1,514,106)	(1,542,162)	139,584
17.	TOTAL COMPREHENSIVE INCOME FOR THE YEAR	4,256,299	6,101,543	6,354,556	1,195,678	10,041,536	2,796,159
18.	EARNING PER SHARE - DILUTE & BASIC (KSHS)	2.57	3.71	3.85	1.55	6.77	1.54
19.	DIVIDEND PER SHARE - PROPOSED (KSHS)	-	2.25	-	-	2.25	-

		GROUP		
OTHER DISCLOSURES		UNAUDITED MAR 2022 (KSHS'000)	AUDITED DEC 2022 (KSHS'000)	UNAUDITED MAR 2023 (KSHS'000)
01.	NON-PERFORMING LOANS AND ADVANCES			
a)	Gross Non-performing loans and advances	23,638,491	24,966,154	29,313,795
Less				
b)	Interest in suspense	3,998,890	4,268,439	4,739,802
c) Total Non-performing loans and advances (a-b)		19,639,601	20,697,715	24,573,993
Less				
d)	Loan loss provisions	13,038,389	13,690,454	14,537,147
e) Net Non-Performing Loans(c-d)		6,601,212	7,007,261	10,036,846
f)	Discounted value of securities	6,601,212	7,007,261	10,036,846
g) Net NPLs exposure (e-f)		-	-	-
02.	INSIDER LOANS AND ADVANCES			
a)	Directors, shareholders and associates	4,575,187	2,876,868	3,351,747
b)	Employees	2,566,924	2,788,888	3,031,075
c) Total Insider Loans and Advances		7,142,111	5,665,756	6,382,822
03.	OFF- BALANCE SHEET ITEMS			
a)	Letters of credit, guarantees, acceptances	73,408,305	72,390,417	73,932,620
b)	Forwards, swaps and options	24,878,410	42,105,420	42,647,237
c)	Other contingent liabilities	4,897,672	4,949,387	5,722,102
d) Total Contingent liabilities		103,184,387	119,445,224	122,301,959
04.	CAPITAL STRENGTH			
a)	Core capital	61,789,618	70,667,086	71,407,516
b)	Minimum statutory capital	1,000,000	1,000,000	1,000,000
c) Excess/ (deficiency)		60,789,618	69,667,086	70,407,516
d)	Supplementary capital	18,554,114	18,313,434	19,556,971
e) Total capital (a+d)		80,343,732	88,980,520	90,964,487
f) Total risk weighted assets		390,747,466	433,713,270	456,746,121
g)	Core capital/Total risk weighted assets	19.97%	22.63%	21.99%
h)	Minimum statutory ratio	8.00%	8.00%	8.00%
i) Excess/(Deficiency) (g-h)		11.97%	14.63%	13.99%
j)	Core capital/Total risk weighted assets	15.81%	16.29%	15.63%
k)	Minimum statutory ratio	10.50%	10.50%	10.50%
l) Excess/(Deficiency) (j-k)		5.31%	5.79%	5.13%
m)	Total capital/Total risk weighted assets	20.56%	20.52%	19.92%
n)	Minimum statutory ratio	14.50%	14.50%	14.50%
o) Excess/(Deficiency) (m-n)		6.06%	6.02%	5.42%
p)	Adjusted Core Capital/Total Deposit Liabilities*	20.01%	22.64%	21.99%
q)	Adjusted Core Capital/Total Risk Weighted Assets*	15.85%	16.31%	15.63%
r)	Adjusted Total Capital/Total Risk Weighted Assets*	20.60%	20.53%	19.92%
05.	LIQUIDITY			
a)	Liquidity ratio	52.75%	46.13%	46.18%
b)	Minimum statutory ratio	20.00%	20.00%	20.00%
c) Excess/(Deficiency) (a-b)		32.75%	26.13%	26.18%

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK Guidance Note issued in April 2018 on implementation of IFRS 9.

Message from the Directors

Basis of Preparation

These financial statements are an extract from unaudited financial statements of the Group for the period ended 31 March 2023 which have been prepared in accordance with International Financial Reporting Standards [IFRSs] and Kenyan Company Act, 2015. The financial statements were approved by the Board of Directors on 26 May 2023 and were signed on its behalf by Messrs Daniel Ndonye, Sarit S.Raja Shah and Michael Turner.

These statements can be accessed from the institution's website <https://www.imbankgroup.com>.

BY ORDER
OF THE BOARD

DANIEL NDONYE
CHAIRMAN
26 May